

Extra exercises of Lecture 20

EX 1

Banks are subject to capital requirements

- a) to limit bank managers' salaries
- b) to allow banks to raise debt more cheaply
- c) to prevent bank managers from taking excessive risks
- d) none of the above

EX 2

Higher bank capital aligns the incentives of bank owners and depositors because:

- a) bank owners face larger losses if the bank fails and are therefore less likely to engage in excessive risk-taking
- b) higher capital implies that depositors are completely insulated from bank insolvency
- c) supervisory authority is more likely to allow banks with enough capital to engage in risky projects
- d) banks with enough capital are more likely to participate in deposit insurance

EX 3

When deposit insurance covers 80% of deposits, then banks:

- a) do not have to hold any cash or reserve
- b) have to hold cash or reserves to pay deposit withdrawals
- c) must invest at least half of assets into short-term loans
- d) do not have to engage in liquidity management

EX 4

Bank Uptown has assets for \$100 and capital for \$10. Bank Downtown has the same asset composition (i.e. same risk), but for \$300 and capital for \$15. Which of the following is true?

- a) both banks are equally risky because they have the same kind of assets
- b) bank Uptown is riskier than Bank Downtown because it has less capital
- c) which bank is riskier cannot be determined
- d) bank Uptown is safer than bank Downtown